

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 22-21

MSRF, Inc.
v.
YANG MING MARINE TRANSPORT CORPORATION

RESPONDENT’S MOTION FOR RECONSIDERATION

Respondent Yang Ming Marine Transport Corporation (“Respondent”), through its undersigned counsel, hereby moves for reconsideration of the Presiding Officer’s December 7, 2022 Order (“Order”), granting Complainant’s motion (“Motion”) for an extension of time to provide responses to Respondent’s requests for discovery (not needed by Respondent because it responded to Complainant long ago), but denying the further extension to the schedule needed by Respondent in light of the extra time given to Complainant. The grounds for this motion, elaborated in Respondent’s supporting memorandum below, are: (1) that reconsideration is required because Respondent was denied its right to reply to Complainant’s Motion under FMC Rule 71, 46 C.F.R. 502.71, so the Presiding Officer did not receive information necessary to make a fair determination of good cause, and (2) that based on *all* the facts, adjustment of the schedule is necessary to prevent the extension granted to Complainant from inflicting fundamental unfairness on Respondent arising from Complainant’s belated service of discovery responses.

Consultation

As required by Rule 71, Respondent's Counsel conferred with Counsel for Complainant regarding this motion and Counsel for Complainant advises that MSRF, Inc. continues to support the request for a revised schedule as proposed in its motion dated December 7, 2022.

Factual Background

On October 17, 2022, Complainant and Respondent exchanged requests for discovery in accordance with the Procedural schedule, responses to which were due November 14, 2022. On November 14, Respondent provided its responses and objections to Complainant's discovery requests.¹ Complainant, on the other hand, did not reciprocate, and still has not provided a single response or objection to Respondent's discovery requests (including interrogatories and requests for admission, which would not be affected by MSRF's production difficulty with Electronically Stored Information).² Instead, on November 16, 2022, two days *after* responses were due, Complainant's counsel sent Respondent's counsel an email asking for a stipulated extension of

¹Additional, confidential documents were provided to Complainant's counsel on November 22, 2022, the same day he agreed to a confidentiality stipulation originally proposed by Respondent on November 11.

²In the Order, the Presiding Officer stated that it was unclear from the Motion whether Respondent had "served its objections and responses to the initial discovery requests made by Complainant and started to schedule depositions." Order at 1. As Respondent explains above, and would have explained in its response, Respondent has indeed served objections and responses (and did so on the due date). It cannot, however, serve any deposition notices, because it needs the delayed discovery from Complainant to determine what depositions are needed, who should be deposed, and what questions Respondent needs to ask at such depositions.

Complainant's due date until November 29, 2022,³ to which Respondent, which needed no extension, acceded as a matter of professional courtesy.

The November 29, 2022 extended deadline came and went without any further word from counsel for Complainant. Finally, on December 2, 2022, several days after Respondent's counsel asked when discovery responses would be provided, counsel for Complainant sent an email request for yet another extension, this time until December 21, 2022. Respondent considered this request and responded that (i) such an extension required a motion rather than a stipulation, because it would necessitate an extension of the entire schedule to avoid patent unfairness to Respondent, and (ii) Respondent objected to the discovery extension for Complainant unless it was accompanied by an adjustment of the entire schedule.

Complainant filed its Motion for an extension to serve discovery and to adjust other dates in the schedule on December 7, 2022. On December 8, before Respondent could file the response to which it was entitled by the FMC's Rules, the Presiding Officer issued the Order as to which Respondent now seeks reconsideration.

Argument

1. Standards for Reconsideration. The FMC's Rules do not specify any standards for reconsideration of interlocutory orders by the Presiding Officer (although they do for reconsideration of final Commission orders). Accordingly, Presiding Officers have substantial authority to flexibly reconsider their decisions prior to issuance of the Initial Decision. As the Commission explained in *Tractors and Farm Equipment, Ltd v. Waterman Steamship Corp.*, 25

³ Because this first request did not necessitate extension of the schedule, Respondent could agree by stipulation, without need for Complainant to file a motion.

F.M.C. 375, 377 n. 9 (FMC 1982), for example: "A presiding officer may properly reconsider and reverse interlocutory rulings made prior to the initial decision, whether those rulings are made by him or her or by a previously assigned [ALJ]." To like effect see *Carolina Marine Handling, Inc. v. South Carolina State Ports Authority*, 2002 FMC Lexis 13 at *2 (ALJ 2002), where Judge Dolan explained that reconsideration can properly be based on correction of the Presiding Officer's misconception of the facts. *Id.* at *3.

2. Reasons for Reconsideration. Reconsideration of the Order is appropriate both under the above standards for reconsideration of interlocutory orders and even under those applicable to final decisions of the FMC, which require a showing either (i) that there has been a change in material fact or in applicable law; (2) that there was a substantive error in material fact; or (iii) that there was a finding, conclusion or other matter upon which the party had not previously had the opportunity to comment. Rule 261, 46 C.F.R. 502.261. Reconsideration is necessary here to eliminate a substantial injustice to Respondent, to correct a substantive error of fact in the Order, and to modify a conclusion reached in the Order without Respondent being given a chance to comment or argue thereon.

This matter fits precisely into the category of findings and conclusions that must be reconsidered because they were made without an opportunity for Respondent to be heard. By issuing the Order on December 8, 2022 only one-day after Complainant filed its Motion, the Presiding Officer abruptly cut off Respondent's right to reply and thus ruled on the Motion without the benefit of Respondent's explanation as to why it conditioned its consent to extra time for Complainant on extension of later events in the schedule. Such truncation of Respondent's right to be heard is not only inconsistent with fundamental concepts of due process, but also flatly contravenes the Commission's Rules of Practice and Procedure, which assure non-moving

parties a right of reply to non-dispositive motions, such as Complainant's extension Motion, within 7 days after filing. See FMC Rule 71(b), 46 C.F.R. 502.71(b). Under Rule 71(b), Respondent was entitled to file a reply by December 14, 2022, and it intended to do so.⁴ Had that right not been pretermitted by the Presiding Officer, Respondent would have filed a response filling in missing pieces regarding its portion of the Motion. We do so now.

As a result of this truncation of Respondent's right to reply, the Order reflects several substantive errors of material fact, or what Judge Dolan referred to as misperceptions of fact. The Order assumes, for example, that both Complainant **and** Respondent sought an extension of time to serve discovery responses and objections. This assumption is very much mistaken, however, as the Motion was not a joint motion, but rather a motion by Complainant to allow **it** to provide discovery responses 38 days after the original due date, to which Respondent assented if, **and only if**, the remainder of the requested relief – extension of other dates in the schedule – was also granted. Relatedly, the Order reflects an incorrect assumption that Respondent has not served responses and objections to Complainant's discovery requests, when in fact Respondent did so long ago. These misperception may have resulted from the skeletal nature of Complainant's Motion, but Respondent always intended to fill in the gaps in Complainant's Motion with respect to why the discovery extension requires adjustment and extension of other dates in the schedule, adding both facts and argument now set forth herein.

⁴ The fact that Respondent conditionally consented to Complainant's Motion does not of course derogate from Respondent's right to reply. It was for that very reason that Respondent did not agree to a joint motion.

3. The Proposed Extension of the Schedule. Having established that reconsideration is warranted, we now show that such reconsideration should result in grant of the proposed schedule extension, reproduced for convenience in the margin.⁵

First, the Order gives Complainant a huge and unfair advantage over Respondent, allowing Complainant to profit by its own dilatory failure to serve responses/objections to **any** of Respondent's discovery requests – not to Respondent's interrogatories; not to Respondent's Requests for Admission, and not to Respondent's request for documents. Respondent cannot possibly mount a meaningful defense with that heavy handicap.

Under the Order, Complainant gets yet another 22 days (for a total of 38 days) to serve responses to Respondent's discovery that were originally due November 14, when Respondent served its discovery responses. What this 38-day advantage means in practical terms is painfully evident when considered in conjunction with subsequent steps in the schedule. Under the schedule as it now stands after Complainant was given its extension without a grant of Respondent's request, both parties must serve supplemental requests for discovery by January 10, 2023. This may be possible for Complainant, as it received responses to its discovery requests a month ago and counting.

⁵ Schedule proposed in Complainant's Motion:

December 21, 2022	Parties to Serve Objections and Responses to Initial Written Discovery Requests and May Begin to Notice Depositions
February 15, 2023	Last Day to Serve Supplemental Written Discovery Requests
March 16, 2023	Parties to Serve Objections and Responses to Supplemental Written Discovery Requests
March 17, 2023	Discovery ends, other than motions to compel and/or for protective order, which shall be made by April 3, 2023
April 28, 2023	Complainant's Brief, Proposed Findings of Fact, and Appendix
June 2, 2023	Respondent's Opposition Brief, Responses to Proposed Findings of Fact, Proposed Findings of Fact, and Appendix
June 16, 2023	Complainant's Reply Brief and Responses to Proposed Findings of Fact

Respondent, by contrast, won't see discovery responses until December 21, 2022 (assuming Complainant meets its latest deadline), giving it only 20 calendar days to review all of the documents produced, as well as Complainant's answers to Respondent's interrogatories and requests for admission, confer with clients located in Asia and other places around the globe, and prepare supplemental requests. This would be a tall task for a large law firm during a period with no intervening holidays. For respondent's counsel, a two-person firm, to do this across two holidays is simply not possible. This is especially the case as Ms. Fenneman will be unavailable from January 7 to 14, 2023 (out of the country) and Mr. Jeffrey will have family visiting from December 17, 2022 through January 1, 2023. Absent a change in schedule, Respondent's counsel may be ethically required to withdraw.

Thus, the January 10, 2023 date for supplemental discovery requests needs to be pushed back by a number of days sufficient to allow Respondent a fair opportunity to review the discovery provided by Complainant on December 21, 2022 (assuming it makes that date) and propound supplemental requests. It may be that the specific date proposed in the Motion – February 15, 2023 -- is longer than Respondent actually needs, and Respondent would not oppose shortening the date to February 7, 2023, but in the larger scheme, the exact date of the extension for filing supplemental requests is of no moment, given Respondent's need, discussed below, to avoid briefs due in May.

As reflected in Complainant's motion, moving the January 10 date necessarily has a cascading effect. If the parties serve supplemental discovery requests later than January 10, 2023, they must be given sufficient time to respond (without hopefully needing to seek any more extensions for that response). The proposed schedule uses the time of 30 days set by the FMC Rules. 46 CFR 502. 145(b)(2). Based on a deadline for supplemental requests of February 15,

2023, that comes out to 29 days (March 16),⁶ with discovery to end the very next day (i.e., March 17).⁷

With respect to that end of discovery, we note that the Order questions the additional proposal (made by Respondent and accepted by Complainant) that the right to file motions to compel discovery responses should terminate two weeks thereafter. This was not intended to replace the requirement that such motions be made as promptly as possible, but rather to set an outside deadline on such motions. We would not object if the Presiding Officer were to change the wording to say that motions to compel are due as soon as possible, but in no event after April 3, 2023, or to delete the added phrase entirely, leaving timeliness to be decided on an *ad hoc* basis.

That brings us to the schedule for submission of briefs. As stated above, Respondent's counsel are unable to prepare any brief due in May. That is because Mr. Jeffrey, its experienced litigator, will be out of town until May 17, 2023, on a longstanding family matter that cannot now be changed. There is neither time before May nor a reasonable time left in May during which Respondent could prepare and submit a brief. Given that Respondent's brief cannot be filed in May. Respondent proposes the earliest reasonable date of June 2, 2023, which itself will

⁶ If February 7, 2023 were to be used as the date for supplemental requests, the response date would be March 8, 2023. But as noted above, this would not affect the end date for briefing.

⁷ We recognize that this end date for discovery is beyond the 150 days specified in 46 CFR 502.141(g). The need to change that date, however, results from Complainant's failure to produce timely discovery responses, so it seems fairer to us to accord Respondent the extra time it needs than to consider whether the Complaint should be dismissed for failure to prosecute or failure of Complainant to provide discovery.

be a struggle to meet. Complainant and Respondent accordingly agreed to give each side approximately the same period in which to prepare and file their opening briefs.⁸

Conclusion

For the foregoing reasons, Respondent urges the Presiding Officer to reconsider the Order and to extend the schedule as requested in the Motion.⁹

Dated: December 13, 2022

Respectfully submitted,

By: /s/ *Rebecca A. Fenneman*
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⁸ We note that the schedule as currently set also gives Respondent the short end of the stick with respect to briefing. Complainant gets 35 days for its opening brief, while Respondent gets only 28. And on top of that, Complainant gets 21 days to prepare and file a reply brief, giving Complainant a total of 56 days for preparing briefs, twice that afforded to Respondent. However the Presiding Officer may otherwise adjust the schedule, she must at least address and correct this inequity.

⁹ If the Presiding Officer still believes that the schedule is too long, we request an opportunity to work with Complainant on a schedule that would be shorter, but not so unfair to Respondent.

CERTIFICATE OF SERVICE

I certify that on the 13th day of December, 2022, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

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